Conventional, Targeted Affordable

Optigo® Lease-Up Loan

Lock in Low Interest Rates Before Stabilization

In today's market, new properties are in high demand. Borrowers want to take advantage of low interest rates early in the process. Our Lease-Up Loan allows borrowers to lock in a rate and fund a loan before the collateral is fully stabilized.

The Freddie Mac Difference

When it comes to multifamily finance, Freddie Mac gets it done. We work closely with our Optigo network of lenders to tackle complicated transactions, provide certainty of execution and fund quickly.

Contact your Freddie Mac Multifamily representative today — we're here to help.

Borrowers Who Want to Know More

Contact one of our Optigo lenders at mf.freddiemac.com/borrowers/.

Product Snapshot

- This type of Optigo loan is for refinancing or acquiring newly constructed properties
- Fixed- and floating-rate loans are available
- We support eligible mixed-use properties
- Borrow Up feature offers access to additional proceeds at first mortgage pricing within the first 24 months of initial loan origination

Index Lock

Freddie Mac Multifamily's Index Lock allows borrowers to lock in the most volatile part of the coupon, the Treasury index. Get certainty of execution through our lock options.

The information in this document is not a replacement or substitute for information found in the Freddie Mac *Multifamily Seller/Servicer Guide*. Terms set forth herein are subject to change without notice.

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Freddie Mac MULTIFAMILY

Conventional, Targeted Affordable: Lease-Up Loan

	Refinance Lease-Up	Acquisition Lease-Up
Product Description	Refinancing for newly constructed properties	Acquisition financing for newly constructed properties
Eligible Borrowers	Borrowers must have experience with new construction and/or lease-up properties, and generally have strong financial capacity and real estate management expertise with good performance and credit history • For Targeted Affordable Lease-Ups, borrowers must have experience in the development and/or ownership of multifamily properties financed with credit-enhanced tax-exempt bonds, state and local affordable programs, Section 8, and/or Low-Income Housing Tax Credits (LIHTC), and/or work with an experienced LIHTC Syndicator, as applicable.	
Eligible Property Types	• Well-constructed properties exhibiting strong lease-up trends in good locations and strong markets • Student housing and manufactured housing community transactions are not eligible • Stabilization expected within 12 months of closing	
Loan Types	• Fixed- and floating-rate loans • See the Fixed-Rate Loan and Floating-Rate Loan term sheets for details	
Maximum Loan-to-Value (LTV) Ratio (as-stabilized)	• 75%	
Minimum Debt Coverage Ratio (DCR)	• 1.25x - 1.35x, depending upon market	
Minimum Cash Equity Requirement	• 15%	• 25%
Lease-Up Credit Enhancement	• A Lease-Up Credit Enhancement may be required for all Lease-Up transactions, as determined by Freddie Mac • The Lease-Up Credit Enhancement must be at least 5% of the unpaid principal balance (10% if the Lease-Up Credit Enhancement is a guaranty, subject to additional conditions) • Release of Lease-Up Credit Enhancement will occur once the property has achieved the required amortizing DCR based on average performance of the past 3 months, net rental income for the past 1 month meets or exceeds the level necessary to reach the required amortizing DCR, and has met other standard conditions as set forth by Freddie Mac • If the required DCR is not reached within 12 months, the Lease-Up Credit Enhancement will be used to resize the loan and recast the payments	

Closing Debt Service Escrow	• An additional 3-month debt service escrow may be required based on the property's actual operations at underwriting	
Rate Lock	• 50% occupied • 60% leased • 60% or more Certificates of Occupancy issued	
Closing	• 1.05x DCR • 100% of Certificates of Occupancy issued	• 1.0x DCR • 100% of Certificates of Occupancy issued
Appraisal Report	The appraisal report must provide the as-is and as-stabilized values for the property	
Markets	Additional flexibility available on a case-by-case basis through an assessment of the market as determined by Freddie Mac	
Borrow Up Option	Intended to capture improved NOI within the 12-24-month period following origination of a Lease-up loan, additional loan proceeds via a supplemental mortgage (pari passu) are permitted. Key features: • The supplemental mortgage will be priced at first-mortgage pricing. • Minimum supplemental amount: $1 million • Must be coterminous and have the same interest-rate type as the initial mortgage • LTV/DCR parameters align with first mortgage baseline requirements • Third party reports from the initial mortgage will be utilized, and the most recent servicing inspection must be submitted. ○ Additional proceeds are not eligible based upon a revised appraisal. • One supplemental mortgage per initial mortgage. Any subsequent request for additional proceeds must be in the form of a second-lien Supplemental loan.	

For More Information

Contact your Freddie Mac representative.

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